

Option Commission Agreement To Be Used With OREA Form 103

Form 104

for use in the Province of Ontario

BETWEEN:

BROKERAGE: ("Brokerage")

AND

OPTIONOR: ("Optionor")

In consideration of the representation by the Brokerage or the Designated Representative of the Brokerage and the services provided as hereinafter set out, I agree to pay the Brokerage a commission of in the event the said Option is exercised.

I shall pay the Brokerage the said commission if within days after the expiration or other termination of the Option or the sale contemplated therein, I sell or exchange the property to or with the same Optionee or the Assigns of the Optionee.

It is understood and agreed that upon the exercise of the said Option, the Brokerage shall become entitled to deduct the amount of the commission due to the Brokerage out of the deposit at the time of the completion of the sale. In the event that the monies paid by the Optionee by way of deposit shall not be sufficient to pay the amount of the commission herein, then I hereby authorize and irrevocably instruct my solicitor to pay any unpaid balance of the commission out of the proceeds of the sale if and when the proceeds of the sale come into my solicitor's hands.

SERVICES PROVIDED:

1. Obtaining the Option dated the day of 20..... and attached hereto
2.
3.

IF OPTION NOT EXERCISED

In the event that the Optionee does not exercise the said Option, I agree that the Brokerage herein shall be entitled to receive one half of the consideration for the granting of the Option or the amount of the above noted commission whichever shall be the less amount and the Brokerage shall be entitled to deduct this amount from the consideration and credit it to the Brokerage's own account and pay over the balance to me

IF LEASED

In the event the Optionee does not exercise the said Option but at any time within days after the date provided for exercise of the said Option enters into a leasing agreement for the property, I agree to pay the Brokerage a commission of% of the first year's rental and % of the rental of any one renewal of the lease. Said commission being due and payable on the earlier of the signing of the lease or taking of possession by the Optionee/Lessee.

It is further understood and agreed that in the event the Lessee purchases the property within the term of the lease or within years from the date the Optionee does not exercise the said Option (whichever occurs first), I agree to pay to the Brokerage a commission of

..... representing% of the agreed upon sale price reduced by the amount already received by the Brokerage as a result of any lease agreement between the Optionee and me.

Any commission payable under this Agreement shall be plus applicable taxes.

Comments:
.....

INITIALS OF OPTIONEE(S):

INITIALS OF OPTIONOR(S):

SCHEDULE(S) A attached hereto form(s) part of this Agreement.

Wherever the terms of this Agreement conflict with any Listing Agreement between the Optionor and the Brokerage the terms of this Agreement shall prevail.

SIGNED, SEALED AND DELIVERED in the presence of:		IN WITNESS whereof I have hereunto set my hand and seal:	
.....			
(Witness)	(Optionor)	(Seal)	(Date)
.....			
(Witness)	(Optionor)	(Seal)	(Date)

Schedule A

Option Commission Agreement

This Schedule is attached to and forms part of the Agreement between:

OPTIONEE:, and

OPTIONOR:

for the property known as

..... dated the day of, 20.....

Optionee agrees to pay the balance as follows:

This form must be initialled by all parties to the Agreement.

INITIALS OF OPTIONEE(S):

INITIALS OF OPTIONOR(S):